

FORM TP 21256



TEST CODE **004372**

PILOT/MAY/JUNE 2001

CARIBBEAN EXAMINATIONS COUNCIL

ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

PAPER 02

Unit 1

$2\frac{1}{2}$ hours

04 JUNE 2001 (a.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question carries a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

SECTION A

MODULE 1

BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. (a) Explain THREE reasons why objectives are important to a business. [9 marks]
(b) Although growth is a major objective of most businesses, it is inhibited by a variety of factors. Identify FOUR inhibiting factors and explain how they hinder the growth of Caribbean businesses. [16 marks]
2. Trade liberalization is gradually gaining ground in the Caribbean. Explain FIVE ways in which this phenomenon is impacting on Caribbean business organizations. [25 marks]

SECTION B

MODULE 2

MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. You are the human resources manager of a manufacturing firm of 250 employees.
(a) Outline the role of the human resources management function in organizations. [5 marks]
(b) Identify FOUR factors which you need to consider in developing a training programme for the firm's employees. [4 marks]
(c) Discuss the importance of each factor identified in (b) above. [16 marks]
4. "The style of a manager has a significant impact on the effectiveness of the organization." Explain the impact of FOUR leadership styles on organizational effectiveness. [25 marks]

SECTION C

MODULE 3

BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. Antilles Manufacturing Company Limited is a multinational which makes small electrical appliances. The company has three investment projects under consideration. These are:

Project A for a promotional campaign in Parrot Island

Project B for the opening of a new plant in Mango Bay

Project C for the opening of a new training centre in Carib Isle

The cost of the three projects is \$20 million each. The income from the projects is shown in the table below in millions of dollars.

	(\$m)					
Year	1	2	3	4	5	6
Project A	2	4	6	6	6	6
Project B	8	6	6	4	—	—
Project C	6	6	6	6	4	2

It is anticipated that the rate of interest will remain at 10%.

The present value of \$1 when discounted at 10% is as follows:

Year	Present Value (PV) factor 10%
1	0.91
2	0.83
3	0.75
4	0.68
5	0.62
6	0.56

- (a) What is the net cash flow for Project C? [2 marks]
- (b) Calculate the net present value of each project using the discounted cash flow method and suggest which project the company should select. [13 marks]
- (c) Outline TWO advantages of the net present value method of investment appraisal. [2 marks]
- (d) Explain FOUR factors that might be taken into account when making an investment decision. [8 marks]

Total 25 marks

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6. The Directors of Precious Foods Limited have approached their bankers – North Caribbean Commercial Bank – for a \$1,000,000 loan to finance additional fixed capital expenditure. The financial controller had earlier suggested that the firm obtain these funds from the capital market but this was not acted upon.
- (a) How might North Caribbean Commercial Bank use information contained in the company's financial statements in order to decide whether to lend the sum of money requested? [14 marks]
 - (b) What is meant by the 'capital market'? [2 marks]
 - (c) Assess the importance of the capital market for an expanding company such as Precious Foods Limited. [9 marks]

Total 25 marks

END OF TEST